Liability

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Limited and unlimited liability

- The most **common forms of business ownership** are sole traders, partnerships, private limited companies, public limited companies and franchises (see subtopic 1.5)
- When an entrepreneur starts a business, they need to consider **what kind of legal structure** they want for their business
- **Sole traders and partnerships** offer no legal protection to the owners, in that the business assets and the owner's personal assets are viewed as being the same (**unlimited liability**)
- The other forms of business ownership offer **limited liability**, in which the assets of the owners are considered to be separate from those of the business

Comparison of unlimited and limited liability

Liability	Description	Implications
Unlimited liability	• Sole proprietors and partnership owners are fully responsible for all debts owed by the business • Owners are also legally responsible for any unlawful acts committed by those connected to the business	• There is no legal distinction between owners with unlimited liability and the business • As a result, these business owners may have to use their own **personal assets** to pay debts or legal fees • E.g. a sole proprietor may need to sell their home to pay **creditors** if their business fails

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	companies and public limited companies can only lose the **original amount** they invested in the business if it fails • Shareholders are not responsible for business debts • In most cases, the shareholders **cannot be held responsible** for unlawful acts committed by those connected with the business	considered a separate legal entity from the business • This means that if a company fails, the owners would **lose their investment** (shares) but would not have to use their assets to meet additional debts or legal fees • E.g. in 2018, construction company Carillion entered **liquidation**, and the shareholders lost their investments

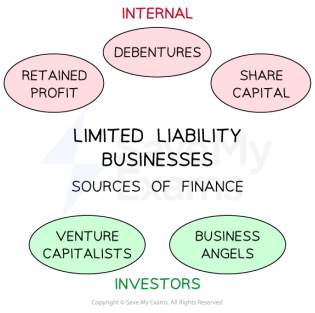
Help me understand

Appropriate finance for limited and unlimited liability businesses

Methods of finance for limited liability businesses

- There are numerous factors that decide **which is the most appropriate form of finance** for limited and unlimited liability businesses
- More often than not, there will be a range or **blend of sources** of finance that a firm can use

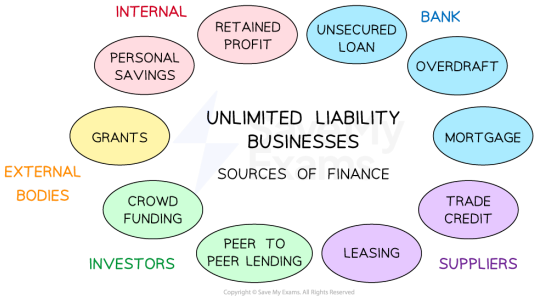
Main methods of finance for limited liability businesses



Methods of finance suitable for limited liability businesses

businesses, e.g. an unsecured bank loan

Main methods of finance for unlimited liability businesses



Methods of finance suitable for unlimited liability businesses

- Businesses need to consider a range of factors before selecting the most appropriate method(s) of finance

Factors affecting the choice of finance

Factor	Explanation
Why is the finance needed?	• **Capital expenditure** on buildings and expensive equipment will usually require a longer-term method of finance, such as a mortgage or the issuing of shares • **Revenue expenditure** (e.g. purchasing raw materials or paying business rates) is more likely to be funded through a short-term method such as trade credit or an overdraft
For how long and how quickly is the finance needed?	• For **quick, short-term finance**, businesses may use methods such as overdrafts, trade credit, short-term loans or leasing • If a business needs access to finance over the **longer term**, methods such as a share issue, debentures, mortgages or grants may be more suitable
Who will lend to the business?	• Start-ups or struggling businesses may find their choice of finance limited and will **often pay much more to access financing** than more established, stable businesses • Businesses that present **more of a risk** to lenders may choose to raise finance through venture capitalists, business angels or crowdfunding

	finance, as they're seen as risky
How much will it cost, and how easy is it to access the finance?	• Methods of finance that attract **interest**, e.g. loans, mortgages and overdrafts, are less affordable for businesses when interest rates are high • **Interest-free** methods of finance are usually more complex to access, e.g. share issues and grants
What is the legal status of the business?	• **Unlimited liability** businesses often struggle to raise finance ○ They may be small, own few business assets (i.e. to use as **collateral**) or have a limited **trading record** • Lenders (e.g. banks) prefer to lend to more established businesses that own assets • Investors prefer to **invest in limited companies**, as the investors are often able to obtain a share in the business

Examiner Tips and Tricks

You are sometimes required to recommend a suitable source of finance to meet the needs of the business presented in a case study.

Whilst candidates are often able to effectively analyse the benefits and drawbacks of each of the available methods and make a judgement, the **very best** responses consider the **specific circumstances** of the business. The table above provides some structure for that discussion.

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